Liquid Insight

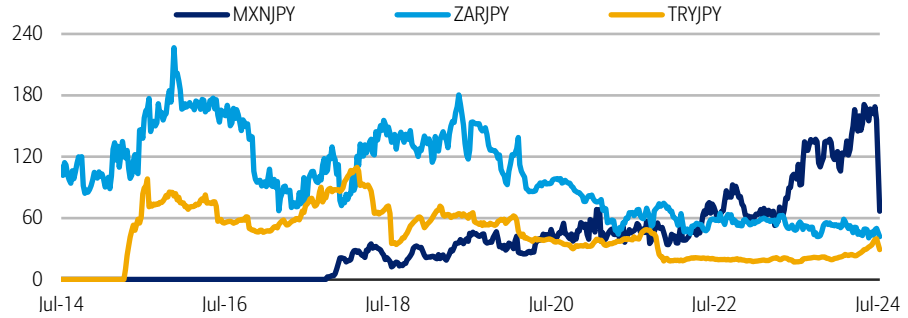
Structural outflows ≠ "yen carry trade"

Key takeaways

- Yen stabilizing as positional unwind run its course.
- Cyclical hedgers can sell USD/JPY's rally but structural outflows likely intact.
- Our USD/JPY end-2024 forecast revised to 155 but we maintain a structurally bearish yen view. We discuss policy implications.

By Shusuke Yamada and Izumi Devalier

Chart of the day: Open interest in EM/yen pairs at Tokyo Financial Exchange (¥bn, gross long)
MXNJPY long fell to JPY65bn by Aug 5 from around JPY170bn in mid Jul



Source: BofA Global Research, Bloomberg

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"Yen carry trade" depends on definition

JPY has sharply rebounded with USD/JPY falling from above 160 to below 142 within a month. In this note, we examine positioning among institutions and retail traders as investors' concern appear concentrated on how much yen carry trades have left to be unwound. As there is no single measure of yen carry trade balance as it depends on what we define as carry trade, we examine multiple measures.

In short, we believe a good part of unwinding of short-term yen carry trade has run its course based on positioning measures and a tentative sign of equity market stabilization. From here, cyclical hedgers would sell USD/JPY's rally to hedge against a US hard-landing scenario. In our view, structural outflows – corporate FDI and retail investors' outward equity investment – remain intact as these trades are not intended for short-term gain from interest rate differentials. That said, retail investors' activity could be a focus as some investors may not have experienced a sharp correction in recent years.

We revise our USD/JPY forecasts, following our US team's outlook revisions and the recent development. We expect USD/JPY to trade top-heavy into the fall, but we remain bearish on the yen longer-term. We discuss policy implications and market scenarios.

07 August 2024

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Unwinding among short-term traders may have run its course

Unwinding in yen carry trade by CTAs (Commodity Trading Advisor) after the weak June US CPI and suspected MoF (Ministry of Finance) intervention has been widely cited as the trigger for the JPY's initial rebound. In fact, non-commercial traders' yen short position reached close to all time high in early July (Exhibit 1). Since then, their yen short balance has fallen by 60% as of Jul 30. By now, we would have expected the balance to be below the average in recent years.

Japanese retail traders have not heavily engaged in yen-carry trade through leveraged FX trading in recent months (Exhibit 2). However, yen short positions increased against MXN in 2Q24. MXN/JPY long positions reached stretched level by July, a similar level ZAR/JPY long reached in 2015, before the correction (Chart of the day). MXN/JPY long in the Tokyo Financial Exchange (TFX) rose to around JPY170bn by mid-Jul and has been cut back to JPY65bn by Aug 5.

Both of these measures suggest to us positional unwind among short-term traders may soon run its course (if it hasn't already).

Exhibit 1: Spec yen short has been cut back
USD/JPY long at CFTC fell to 40% of the Jul 2 level by Jul 30

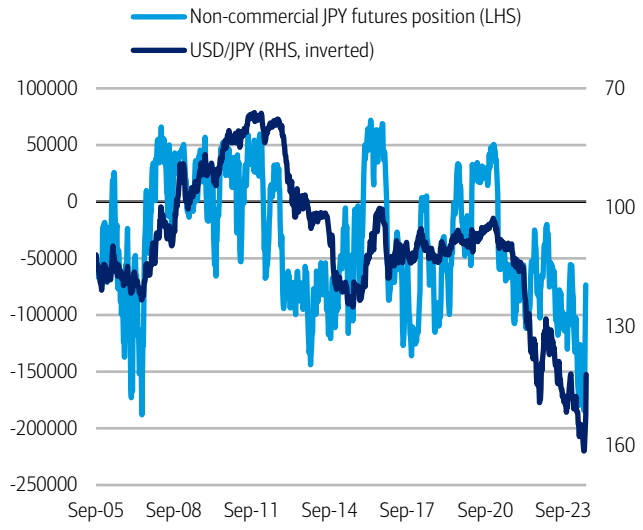

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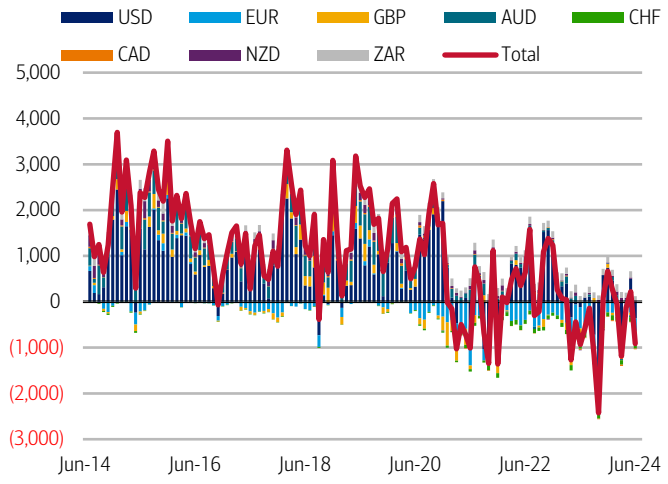
Exhibit 2: Client open interests at Japanese FX brokers at month end (¥bn)
Traders were not net yen short as of end-June



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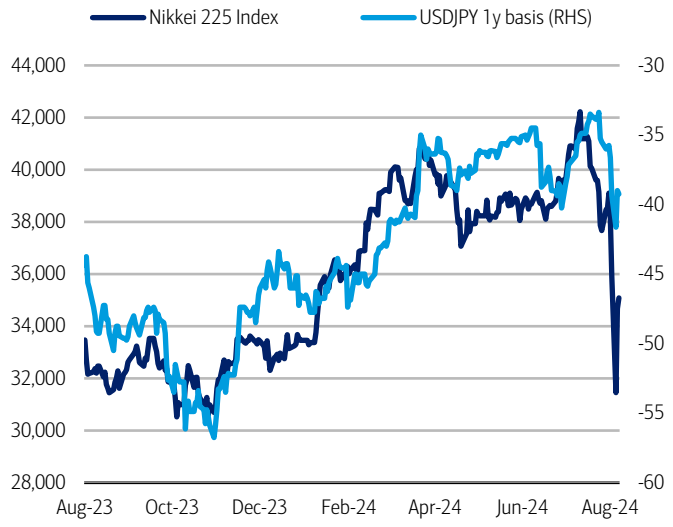
Equity market stabilization can help USD/JPY

Another key market to watch is Japanese equities. To the extent inward equity investment to Japan has been currency-hedged, a form of yen carry trade, the sharp sell-off in Japanese equities has likely exacerbated USD/JPY's price action as foreign investors may have sold USD/JPY to align the size of FX hedging to their equity exposure.

There is some evidence that foreign investors may have been among the main sellers in Japanese equities. BofA's equity strategy team notes companies with high ownership by foreigners saw a sharper decline in their share prices (see: Japan Equity Strategy: Unusual drop: Market instability likely for next 2-3 months; dip-buying opportunities 05 August 2024). USD/JPY cross currency basis widened in the negative territory amid the sell-off in Japanese equities while USD/JPY cross currency basis had previously tightened as foreign investors had accumulated Japanese equities.

We expect weekly flow statistics to show sizable selling in Japanese equities by foreign investors from the final week of Jul to the first week of Aug (this week). A stabilization in Japanese equities should help stabilize the cross currency basis and USD/JPY.

Exhibit 3: Nikkei 225 index vs USDJPY 1y cross currency basis
Sharp sell-off in Japanese equities accompanied wider USDJPY basis



Source: BofA Global Research, Bloomberg

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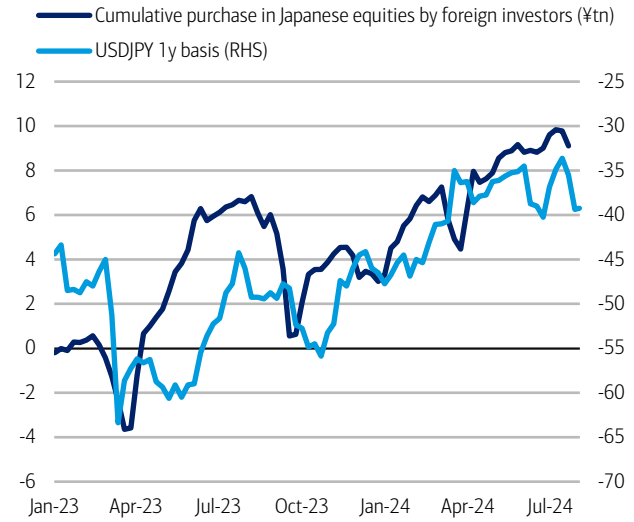
Exhibit 4: Foreign investors' Japanese equity exposure vs USDJPY 1y cross currency basis
Foreign investors had been net buyers in Japanese equities



Source: BofA Global Research, Bloomberg

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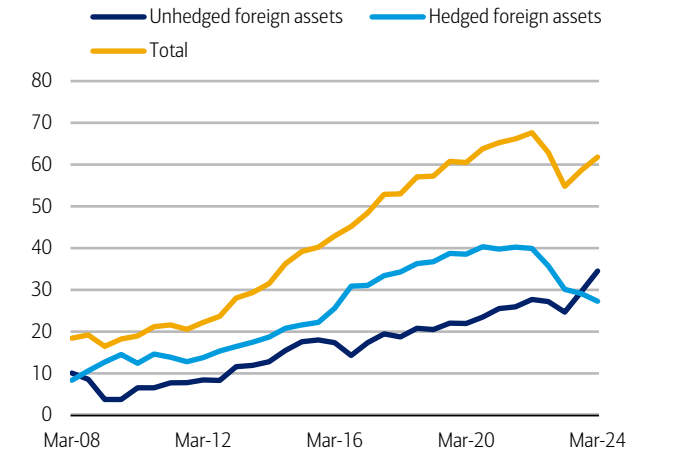
Cyclical hedgers may sell USD/JPY's rally

Meanwhile, cyclical hedgers may consider selling the USD/JPY's rally. In recent years, Japanese lifers have reduced their exposure in hedged foreign bonds but have not reduced exposure in unhedged bonds. While a good part of the rise in unhedged foreign bonds may be due to increased popularity of FX-denominated insurance plans, as opposed to their investment decision, some investors may have reduced the hedge ratio in their book due to the elevated USD hedge cost and a sticky uptrend in USD/JPY. Some lifers may be incentivized to sell USD/JPY's rally to hedge against a US hard landing scenario.

Similarly, exporters may be urged to hedge. According to the Tankan survey, large manufacturers assume an average USD/JPY rate of 142.8 for FY24. As the spot is trading around this level, a rally is more promptly sold by exporters (Exhibit 6).

Exhibit 5: Japanese lifers' foreign asset holdings* (¥tn)
Lifers have steadily increased unhedged exposure



Source: Life insurance firms
Hedge balance calculated by BofA

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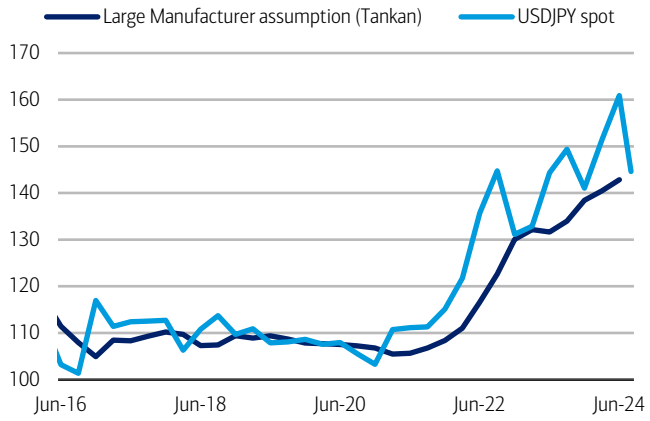
Exhibit 6: FX assumption for fiscal year among Japanese exporters vs USD/JPY spot
Exporters' USD/JPY supply is a risk



Source: BofA Global Research, Bloomberg

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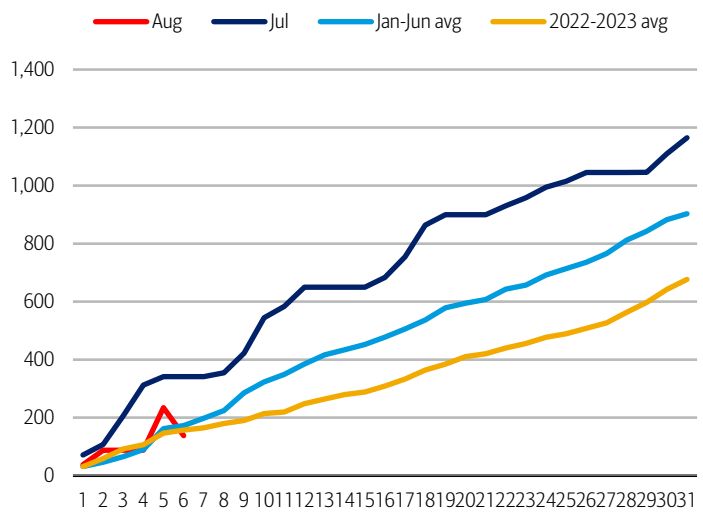
Structural outflows remain intact but watch retail flow

Despite concern over a US recession, we think structural outflows from Japan would remain intact. Japan Inc.'s outward FDI has proven to be insensitive to past business cycles (see: Liquid Insight: Japan's outward FDI behind yen's sticky weakness 22 May 2023).BoFA's credit analysts see resilience in credit among Japanese issuers (see: Japan Credit: ICE USD Japan Issuers Index (JPNDOL): July 2024 05 August 2024).

There is more uncertainty around retail investors' outward equity investment. Many of these investors have likely only started investing in recent years and have not experienced a sharp sell-off in the global equity market. We should monitor whether their behavior changes. Tuesday Aug 6 saw net outflow from foreign equity funds, after sizable inflow on Monday (Exhibit 7).

However, we believe retail investors' outward equity investment can be characterized as long-term investment than "yen carry trade". Retail investors have started to diversify their cash-heavy portfolio to hedge against Japan's economic future and rising inflation, rather than to capture short-term gains. We believe a good part of flows in foreign equity funds have been via dollar-cost-averaging program, especially via tsumitate NISA accounts (see: FX Watch: Japan BoP 08 July 2024).

Exhibit 7: Cumulative net intramonth inflow to foreign equity Toshins (¥bn)
Large inflow on Aug 5, followed by outflow on Aug 6



Source: BofA Global Research, Bloomberg

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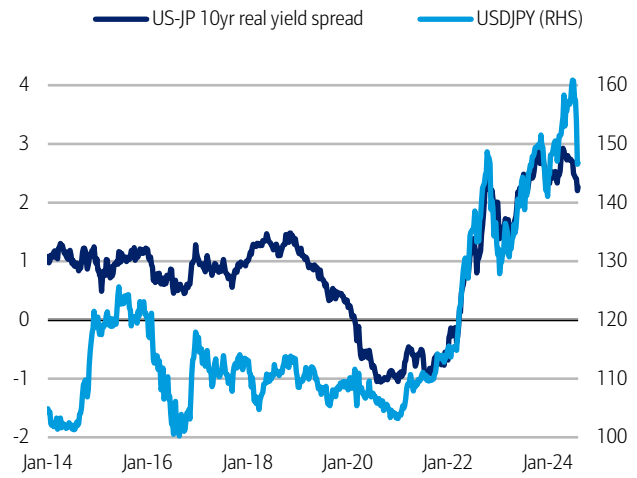
Exhibit 8: USDJPY vs US-Japan 10yr real interest rate spread
USD/JPY more consistent with rates differential



Source: BofA Global Research, Bloomberg

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Policy implications: Aggressive actions unlikely, but lower likelihood of near-term hike

Given the sharp moves in USDJPY and the equity markets, we've received questions from investors wondering whether there will be policy response from the government or BoJ.

On the prospect of FX intervention, the current level of volatility and the speed of the USD/JPY move match those prior to suspected USD/JPY selling interventions since April. However, in our view the bar for interventions may be high for the following reasons:

- The USD/JPY sell-off started after MoF intervention followed the weak June US CPI print.
- USD/JPY appears more consistent with the rates differential (Exhibit 8).
- USD/JPY remains expensive in many PPP (purchasing power parity) measurers.

- With a slowing US economy and inflation, US policymakers may be more fine with a weaker USD than before.

On monetary policy, we belive aggressive actions, such as a 1) restart of the ETF purchase program (which the BoJ formally ended in March 2024); and 2) revisions to the Bank's recently-announced JGB tapering plan are highly unlikely as there are no signs currently that the latest market dislocations pose financial stability risks.

As for rate hikes, we don't believe the latest market disruptions rule out the possibility of another 25bp hike by year-end, as telegraphed by Governor Ueda in his hawkish post July MPM press conference remarks (see: Japan Watch: BoJ Review: Hawkish shift, 31 July 2024). Having said this, we believe the recent market developments have reduced the likelihood of an October and, to a lesser degree, December hike, at the margin. We continue to forecast two additional 25bp hikes to 0.5% in January (with risk of an earlier move in Dec) and 0.75% in Jul-Sep '25, to take the end-CY25 policy rate to 0.75%.

The BoJ has said that it would continue to raise the policy rate if economic activity and prices develop in Bank's outlook. While we currently think the spillovers to the real economy from the recent market volatility will be limited, it will take time to assess the impact. Related to this, in our view, the volatility surrounding the July MPM decision will reinforce the need for careful communications ahead of future policy changes, i.e. possibly by making greater use of speeches and interviews. We expect this to add to the time required to "tee up" another hike.

Uchida speech also suggests higher bar for October hike

Last but not least, the reduced likelihood of near-term hikes is also supported by a dovish speech by Deputy Governor Uchida today.[1] Speaking in Hakodate, Uchida re-stated that, while the BoJ's baseline scenario for US soft landing and gradual improvement in Japan's underlying inflation remains intact, it needs to "maintain monetary easing with the current policy interest rate for the time being, with developments in financial and capital markets at home being extremely volatile."

He also stated that the upside risk to inflation from the rise in import prices had decreased somewhat due to the recent appreciation of the yen. This implies that the BoJ may not be in a hurry to raise rates unless USDJPY returns quicky to pre-July MPM levels.

USD/JPY forecast and market scenario

We revise our USD/JPY forecast reflecting changes in our US outlook and the recent market development. Our US team now expects the Fed to start cutting rate in Sep (vs Dec previously, Federal Reserve Watch: Enough softness to lock in a September start 02 August 2024) and expects a lower US rates range (see: Liquid Insight: US rates: tide has turned 05 August 2024).

In our view, hedgers' USD/JPY supply, bullish JPY sentiment, and increased equity market volatility could keep USD/JPY top-heavy with occasional sell-off into the Sep FOMC and possibly into the US election.

However, barring (increasing expectation for) a US recession or a clear shift in US currency policy to a weak dollar policy (see: Global Economic Viewpoint: US Elections: The Great Debates 31 July 2024), we believe JPY will move back into a downtrend by year-end. Structural outflows from Japan would remain intact. Market pricing for Fed rate cuts is much more aggressive with four 25bp cuts priced by year end than our base line scenario.

[1] See Shinichi Uchida, "Japan's Economy and Monetary Policy" (Speech at a Meeting with Local Leaders in Hakodate), 7 August 2024.

By year-end, we expect demand/supply and Fed pricing tofavor USD/JPY again and that USD/JPY could move back above 150. We would therefore consider USD/JPY's dip, ideally below 143, as a buying opportunity.

We now expect USD/JPY at 155 for end-2024 (vs 158 previously) while we keep our end-2025 forecast at 147.

Exhibit 9: USD/JPY forecasts
We revise down USD/JPY outlook for 3Q-4Q24 but remain bearish on JPY longer-term

	Spot	3Q24	End-2024	1Q25	2Q25	3Q25	End-2025	End-2026
BofA	145.2	150	155	152	151	149	147	147
BofA previous	145.2	163	158	153	151	149	147	147

Source: BofA Global Research

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Risk: US recession, unwinding of retail investors' global equity holdings

The biggest risk against our view is a US recession / hard landing scenario, which may drive US yields and stock prices lower. This can support the yen as increased concern over this risk has driven JPY higher in the past week. There is a risk this could put retail investors' US equity holdings at risk of unwinding.

Notable Rates and FX Research

See report links below.

- **Global Macro Year Ahead 2024 –** Hope for the best, prepare for the worst, 19 November 2023
- **Global Rates Year Ahead 2024 –** Cloudy with a chance of landing, 19 November 2023
- **G10 FX Year Ahead –** The year of the landing, 20 November 2023
- The unwinding of JPY carry trades, **Liquid Cross Border Flows**, 29 July 2024

Rates, FX & EM trades for 2024

For a complete list of our open trade recommendations as well as our trade recommendations closed over the past 12 months, see the reports below:

Global FX Weekly: The art of removing restrictiveness in an uncertain world 02 August 2024

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